

The Economy of Nepal

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THE KINGDOM OF NEPAL is a landlocked country bordered on the west, south, and east by India, on the north by Tibet, and on the northeast by Sikkim. It extends approximately 500 miles from east to west and 100 miles from north to south, and covers an area of about 54,000 square miles. Comparatively few miles apart are jungles, rice valleys, alpine highlands, and snow peaks. Elevation rather than latitude is the main determinant of climate.

The country is divided into three geographical regions: the Himalayan North, the central region (Inner Himalaya or the Hills), and the southern region (Terai). The Himalayan North contains the Nepalese portion of the Himalayan Mountains. The central region lies between the Great Himalaya and the Churia Hills (a continuation of the Siwalik Range of India); it is a succession of mountain chains which vary between 4,000 and 10,000 feet in elevation. Between the well-defined Mahabharat Range (8,000 feet) and the Himalayan North is the Kathmandu Valley (4,500 feet), which is not only the political and cultural heart of the nation, but also one of its principal economic areas. The precipitation in the Valley averages about 58 inches a year; most of it occurs during the period from June through September—the time of the monsoon winds. Temperatures range from about 50°F in January to 78°F in July. The southern region lies between the Indian border and the Churia Hills; included in this general area are the forest-clad Churia Hills and the Bhabar slope, known together as the foothills or the Inner Terai. South of the foothills is the Terai region, a fertile alluvial plain which is part of the Gangetic Plain of India and is some 20 miles wide at its broadest point. Northern Terai, adjoining Bhabar, is a marshy area where malaria is endemic, while the southern belt (about 10 miles wide) is rich agricultural land. The climate of Terai is tropical: the eastern and midwestern portions have 60 inches of rain a year, while the far western part is a dry area, experiencing frequent

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droughts. The Terai is often ravaged by the floods of the Kosi, Bagmati, and Gandak Rivers, although, also, its soil is continually fertilized by the river alluvium.

The official census taken in 1961 estimated the population of Nepal at 9.39 million. Between the census in 1952-54 and that in 1961, the annual rate of increase was about 1.4 per cent. In 1961, 63.3 per cent of the total population was in the central or Hills region. According to the 1952-54 census, about 93.4 per cent of the total labor force was engaged in agriculture; for the Kathmandu Valley, which is the least rural area of the country, the percentage was 64.7. Of special economic significance are the Gurkha soldiers of Nepal who serve in the British and Indian armies. Their pay and the pensions of retired Gurkhas have, until recently, been a principal source of Nepal's external earnings.

There are 10 or 12 ethnic groups, which have developed with some degree of independence, owing to difficulties of transport and communications. Among these are the Mongoloid, who are descendants of migrants from Tibet, and the Indo-Aryan, who originated from northern India. The first group is predominant in the northern part of Nepal, and the second in the southern part. The people of the Kathmandu Valley are primarily Newars, who were once the rulers of the Valley but are now the country's principal mercantile group and are prominent in the civil service.

The national language is Nepali; however, in the Great Himalaya, the predominant language is Tibeto-Burman; and in Terai, Hindi and Hindustani are used extensively. The major religions are Buddhism and Hinduism.

The 1952-54 census showed that the literacy rate was 8.3 per cent for males and 0.7 per cent for females. While no statistical data are available, life expectancy is known to be low. In recent years, however, government programs have made significant improvements in the fields of health and education.

Agriculture and Land Tenure

According to one study, "much of the potentially arable land—slightly over 10 per cent of the total area—is already under cultivation."¹ To a certain extent, land under cultivation has increased

¹ Pradyumna P. Karan and William M. Jenkins, *The Himalayan Kingdoms: Bhutan, Sikkim, and Nepal* (Toronto, London, New York, 1963), p. 101. On page 103, these authors also state, "Land-use surveys indicate little possibility of additional food production by the expansion of cultivated land."

as a result of a resettlement program. The area under cultivation at present is estimated at 11.8 million acres, and the percentage distribution of this land among the various crops is as follows:² paddy, 55.7; maize and millets, 24.7; wheat, 6.5; potatoes, 4.9; oilseeds, 3.4; tobacco, 2.4; jute, 0.8; and miscellaneous crops, 1.6. The output of the principal crop, paddy, in 1960-61 was estimated at about 2.7 million tons. Ghee (clarified butter) is a chief product of animal husbandry. Experimental farms are being established to explore the possibilities of growing cotton.

Pasture land is still not sufficient to sustain a large livestock industry, and overgrazing is a chief cause of soil erosion. Alpine meadows total about 2.6 million acres, and grazing occurs also in forests. Forests cover about one third of the total surface area, but some of those which are accessible are already dwindling.

The most important agricultural areas are the eastern and mid-western Terai and the central region, especially Kathmandu Valley. Most of Nepal's agricultural exports originate in eastern Terai, where two crops of rice are grown and also jute and sugar. In the valleys in the central region, rice, sugar cane, bananas, oranges, and other sub-tropical products are grown; while in the western Terai, wheat and millet are produced. In the higher valleys of the Himalayan North, potato cultivation and the raising of sheep and goats are the main agricultural pursuits.

The possibilities of extending the area for crop production lie in the development of irrigation facilities in some parts of western Nepal. Although the country has many natural advantages for providing irrigation facilities, only one fifth of the total cultivated land is at present irrigated.³ This is done mostly by farm cultivators, with small irrigation works that are subject to the vagaries of rainfall. Only a little more than 100,000 acres are served by major irrigation projects, more than half of which were set up in the period of the First Five-Year Plan, between 1956 and 1961.

Agriculture is chiefly on a subsistence basis and is characterized by intensive cultivation and low productivity. Cultivated land per capita of the agricultural population does not exceed 1.5 acres.⁴ Because of unequal land distribution, many farm units are even smaller than the average. Moreover, the normal fertility of the alluvial soils

² Y.P. Pant, *Planning for Prosperity: a Study in Nepal's Experiences* (Kathmandu, 1962), p. 16.

³ P. P. Karan and W. M. Jenkins, *op. cit.*, p. 102, and P. P. Karan, *Nepal: A Physical and Cultural Geography* (Lexington, Kentucky, 1960), p. 37.

⁴ B. P. Shreshta, *An Introduction to Nepalese Economy* (Kathmandu, 1962), p. 45.

has been exhausted by centuries of cultivation without the use of fertilizers and crop rotation. Agricultural implements of the type used 150 years ago are still in service. Warehousing and transport facilities are acutely needed. The credit system, with loans at 50 per cent interest being common, is a severe handicap to progress.

Two thirds of the land in Nepal belongs to big landowners, and 80 per cent of the cultivated land is under tenancy. A large proportion of the output is appropriated by the landowners as rent. All other costs of production are borne by the tenant, who is responsible for all investment on the land. Since the tenant does not receive a sufficient return and is deprived of both the means and the incentive to increase farm productivity, agricultural investment has been cumulatively in arrears. The disinclination to undertake permanent improvements is fostered by insecurity of tenure.⁵

The main land tenure systems are the *Raikar*, *Birta*, and *Guthi*. Under the *Raikar* system, the Government gave lands to tenants for cultivation, but remained the owner; tenants are required to pay fixed revenues to the Government. This arrangement has brought about the *Zamindari* system under which, for a commission, the *Zamindar* acts as the intermediary between the tenant and the Government. Frequently, the commissions are exorbitant, and cultivators, unable to discharge their debts, transfer their lands to the big landowners.⁶ Under the *Birta* system, which covers about one fourth of the total cultivated land, the Government transferred its ownership of land to certain individuals as reward for meritorious performances; this land could subsequently be obtained through inheritance. Some *Birta* grants, however, were only assignments of land revenue to the *Birta* holders (instead of to the Government) and did not imply transfer of ownership. But in any case, *Birta* land is free of the payment of revenue to the Government. Through inheritance, much *Birta* land has been transferred to small owners. Under the *Guthi* system, the Government transferred ownership of certain land to religious and charitable institutions, which used the income from the land for their operations.

The first Land Reform Commission was set up in 1952, but no action was taken on its recommendations. An agrarian reform was initiated by Royal Proclamation in 1955, but this, too, had little effect. In 1957, the Land Reform Act was enacted. This statute fixes 50 per cent of the gross output as the maximum rent to be paid by the peasant cultivator to the landowner; sets the ceiling on interest at

⁵ *Ibid.*, p. 54.

⁶ Y.P. Pant, *op. cit.*, p. 72, and B. P. Shreshtha, *op. cit.*, p. 52.

10 per cent; abolishes forced labor and extra levies; and provides protection to tenants against unjust eviction. It requires that all rent be paid in cash. But implementation of the Act has been, and still is, hampered by lack of land records and data on crop production, and also administrative problems. In 1959, the Birta Abolition Act was promulgated. Under this Act, the Government acquired proprietary right over all Birta land; the Birta holders are to be compensated in interest-bearing bonds. While the Government now receives revenue from all the former Birta land, Birta holders in whom full proprietary rights were originally invested still receive rent from their tenants. The Birta Abolition Act provides that all Birta land shall eventually be converted into Raikar land.

It is reported that an Agrarian Act abolishing the Zamindari system has been proclaimed.⁷ The Act is based on the recommendations of the Royal Land Reform Commission, which submitted its report to the King in 1962. For two or three years, pilot projects to implement the Act will be undertaken in three regional districts, where cooperative banks will be set up to render financial assistance. On the basis of this experience, the statute will be generally enforced by the Government. The new Act also aims at a redistribution of land. While limits on the acreage that may be owned vary according to the location of the holding, the maximum acreage for a landowner (per person or family) is 25 bighas (1 bigha = 1.6 acres). The excess land will be distributed among the landless. Landowners from whom land is taken will be compensated 10 per cent in cash and the rest in 5 per cent bonds to be issued by the Government. The Agrarian Act also requires that all documented loans exceeding 50 Nepalese rupees be registered; should the interest which has been paid exceed the original amount of the loan, the loan will be canceled.

Forests and Minerals

One third of the area of Nepal is covered by forest, much of which is now unproductive because of overfelling and annual burning. The Terai forests, which cover only a small area, are rich in *sal*, a hardwood used in construction, and *semal*, which is used for plywood, matches, and paper. In the central region are pines, oaks, willows, and walnuts. While the forests of the Himalayan North have extensive timber resources, particularly fir and juniper, they are presently unworkable. The forests of the Mahabharat Range (central region) are decreasing, and soil erosion has become a major problem.

⁷ *Far Eastern Economic Review* (Hong Kong), June 6, 1963.

One of the chief uses of wood in Nepal is for fuel. In the past five years, the price of firewood in the Kathmandu Valley has been rising. In order to protect the forests, the Government has encouraged the replacement of wood by kerosene. Wood is also exported, and in 1958-59 the value of such exports amounted to NRs 9.3 million (NRs 1 = \$0.13).⁸ Other forest products, such as sabai grass (suitable for paper pulp), medicinal herbs, bamboo, canes, and broomsticks, are also exported.

In the First Five-Year Plan period (1956/57-1960/61),⁹ the Nepalese Government undertook measures for the proper use and development of the country's forests. Forest boundaries were designated, forest services initiated, and forest plantations begun. In addition to an intensification of such measures, it is hoped that during the Three-Year Plan period (1962/63-1964/65), a central herbal laboratory will be established in Kathmandu and that the number of herbal farms will be increased.

Although geological exploration is still in the initial stage, it appears that Nepal does not have much wealth in minerals. Coal, iron, mica, copper, and cobalt are present, but proven reserves are small and are frequently of poor quality. Moreover, the great difficulties of transport reduce the possibility of profitable exploitation. Non-metallic reserves of limestone, talc, ocher, and slate are relatively ample. The geological structure has encouraged hopes that petroleum may be discovered.

Nepal has been assisted by several countries in the study of its mineral resources. The Swiss Government has provided technical assistance for a mineral survey. Through U.S. aid, Nepal's Bureau of Mines has obtained a modern laboratory. The International Cooperation Administration has trained local technicians and given advice on mineral policies. Long-term mapping projects have been undertaken by the Geological Survey of India, and the United Nations has provided an expert for geological mapping.

Transport and Communications

Transportation, particularly from east to west, is a major problem. Transport facilities cannot easily be provided because of the country's topography. In most of Nepal, porters or pack animals are the only means of transport. Moreover, the trails used are frequently impassable in the monsoon season.

⁸ B. P. Shreshtha, *op. cit.*, p. 17.

⁹ See below, page 513.

In 1950, there were only 230 miles of motorable roads, 110 of which were in the Kathmandu Valley; the remainder extended mostly from southern border towns to towns in the foothills. In 1956, Kathmandu was linked to India (at Raxaul) by the Indian-built Tribhuvana Raj Path, which is a 79-mile highway. At present, Nepal has 770 miles of motorable roads, of which 106 miles are pitched, 165 miles are metaled, and the rest are fair-weather. China (Mainland) has offered to help to construct a highway from Kathmandu to Kodari (Tibet).

The railway system consists of a 29-mile narrow gauge tract from Raxaul on the Indian border to Amlekhganj near the foothills, and a 27-mile line from Jayanagar on the border to Janakpur; the first is the more important. Indian railway lines reach various points along the southern, eastern, and western boundaries of Nepal.

The Kathmandu Valley is served by a 14-mile ropeway from Dhursing (southern end) to Metatirtha. It delivers 60 tons of goods daily, although through wear and tear the ropeway's original capacity of 8 tons an hour has been reduced to only about 5 tons. A new ropeway, 28 miles long, from Kathmandu to Hitaura, has been completed recently; its capacity is 25 tons an hour. It has been proposed that the railway line from Amlekhganj be extended to Hitaura, and linked to the new ropeway.

The high cost of road construction and maintenance has led the Nepalese authorities to promote air transport, which in some instances appears to be more economical. Flights between Kathmandu and Patna, India, were started in 1950 by the Indian National Airlines Corporation, which also operated some domestic air services in Nepal. In 1957, with Indian assistance, the Royal Nepal Airlines Corporation took over these domestic services. This Corporation now provides air transport between Kathmandu and eleven major towns in Nepal, as well as between Kathmandu and Calcutta, Patna, and Delhi. The Indian National Airlines Corporation also provides services to Kathmandu from Calcutta, Patna, and Delhi. The United States, India, and China (Mainland) are assisting Nepal in the development of its domestic air service, and the authorities are considering a major increase in the number of landing strips, as well as the improvement of those existing.

The transport difficulties frequently intensify local scarcities of essential commodities, even when there is no over-all shortage in the country. This leads to widely varying prices in different regions. Even in the plains bordering India, the surplus of one area frequently does not go to a neighboring deficit area but is sent to India, whence the deficit locality obtains its needs. However, the operation of the

new Kathmandu-Hitaura Ropeway is expected to relieve the periodic scarcities in the Valley.

The first post offices in Nepal were established in 1881. By 1956, they were only 107 in number—one for every 85,000 persons. Now, however, there are four for every 85,000 persons, i.e., one post office for every 136 square miles. Nearing completion is the U.S.-aided radiotelephone network, which includes the automatic telephone exchange for Kathmandu and links it to 56 radiotelephone sets throughout the country. International links to Calcutta and New Delhi will also be provided.

Manufacturing and Power Resources

Organized large-scale industrial establishments in Nepal include two jute mills, one sugar mill, two match factories, and one cigarette factory.¹⁰ In addition, there are several medium-scale enterprises, such as flour mills, rice mills, and sawmills. In this small industrial sector, Indian capital, labor, and managerial and technical skills have been important. The major industry is jute processing, in which investment in 1958 was NRs 19.2 million, or more than half the total investment in all the organized large-scale industries. From 1950 to 1959, exports of jute goods accounted for 57.3 per cent of the industry's total output. The Government wishes to encourage the establishment of such import-substitute industries as textiles, cigarettes, sugar, and cement. The aim is to become self-sufficient in their production, since they account for a large part of imports. It is estimated that the production of matches increased by 11 per cent in 1961-62, jute goods by 8 per cent, sugar by 6 per cent, and cigarettes by 4 per cent.

The U.S.S.R. is assisting Nepal in the erection of a sugar factory with a daily capacity of 1,000 tons of cane, and a cigarette factory with an annual capacity of 2 billion cigarettes. China (Mainland) is helping to construct a cement factory with an initial annual capacity of 50,000 tons, as well as a shoe and leather factory which will produce yearly 30,000 pairs of shoes, and a paper factory with an annual capacity of 6,000 tons. The U.S.-assisted Hitaura Sawmills have an annual capacity of 350,000 cubic feet, and it is intended to increase the capacity to 700,000 cubic feet. The Birlas, well-known Indian industrialists, are establishing a modern cotton mill with an annual capacity of 20 million yards of cloth. In Kathmandu, there is a demonstration wool carding and spinning mill. With the exception

¹⁰ Y.P. Pant, *op. cit.*, pp. 89-90.

of the cotton mill being constructed by the Birlas, both the enterprises that are newly established and those to be established are within the public sector

Industrial development in Nepal is impeded by the lack of transport and power facilities, markets, capital, and technical as well as managerial skills.¹¹ A large number of joint stock companies were organized from 1936 through 1950, but only a few have survived. Even the survivors operate frequently at a loss. The rapid establishment of manufacturing companies in the past, especially in 1940-50, is attributed to conditions of scarcity created by the war and to some temporary incentives provided by the Government.¹²

Proximity to transport facilities and raw material supplies are the two decisive factors in the location of industries in Nepal.¹³ Since the Terai, which borders on India, has definite advantages in both these respects, it has 80 per cent of the organized industries; its principal industrial areas are Biratnagar and Birganj. However, industrial estates are being set up in Kathmandu. Meanwhile, Nepal's cottage and small industries have shown a declining trend, although efforts have been made to revive or reinvigorate them. In the Kathmandu Valley are found the traditional crafts, such as pottery, woodwork, weaving, metal work, embroidery, and basket making. Tibet was once a flourishing market for the Valley's artistic crafts.

Although Nepal has ample hydroelectric power potential, much less than 1 per cent of it has been exploited.¹⁴ Including thermal and diesel power, the present electric generating capacity is estimated at only 8,912 kilowatts.¹⁵

Since 1955/56, a number of power projects, both hydroelectric and diesel, have been initiated with foreign assistance. Among these are the Indian-aided hydroelectric projects: Trisuli (9,000 kw.) and Pokhara (500 kw.). The Panauti hydroelectric project (2,400 kw.) is receiving assistance from the U.S.S.R. In addition to the Thado Khola hydroelectric project (400 kw.), the United Kingdom is providing two diesel plants with a combined capacity of 750 kw. The United States is also providing several installations, both diesel and hydroelectric, with a combined capacity of 4,900 kw. Two joint development projects are being financed by India: the Chatra Canal Project, which is a part of the Kosi River project (10,000 kw.), and the West-

¹¹ *Ibid.*, pp. 90-91.

¹² B. P. Shreshtha, *op. cit.*, p. 85

¹³ *Ibid.*, p. 128.

¹⁴ *Ibid.*, p. 8.

¹⁵ *His Majesty's Government, Three Year Plan, 1962-65, Summary* (Kathmandu, 1962), Appendix II, p. 27.

ern Canal Project, which is a part of the Gandak River project (10,000 kw.). In January 1962, the UN Special Fund agreed to provide \$914,000 for a survey of the hydroelectric power potential of the Karnali River Basin.

Development and Foreign Aid

Nepal's First Five-Year Plan (1956/57-1960/61)¹⁶ was completed in July 1961; it has been followed by the Three-Year Plan (1962/63-1964/65).¹⁷ The intervening period (1961/62) was devoted to the

TABLE 1. NEPAL: EXTERNAL AID IN THE FIRST FIVE-YEAR PLAN PERIOD
(FISCAL YEARS 1956/57-1960/61) AND IN THE THREE-YEAR PLAN
PERIOD (1962/63-1964/65)

(In millions of Nepalese rupees)

	Five-Year Period ¹	Three-Year Period
United States	234 ²	210
India	82	140 ³
China (Mainland)	32	40 ³
U.S.S.R.	8	80
United Kingdom	4	15
United Nations	17	10
Other sources	6 ⁴	5
Total	383	500

Sources: Nepal Rastra Bank, *Report of the Board of Directors to His Majesty's Government for the Fiscal Years 1957/58-1960/61* (Kathmandu, 1962); *His Majesty's Government, Three-Year Plan, 1962-65, Summary* (Kathmandu, 1962); and other data obtained from the Government of Nepal.

¹ Data relate to aid authorized; details of the amount of aid utilized are not available.

² Including NRs 11 million from the Ford Foundation.

³ See footnote 18 (p. 514).

⁴ Aid from Switzerland (NRs 2.4 million), New Zealand (NRs 2.1 million), Canada (NRs 1.1 million), and Australia (NRs 0.84 million).

"consolidation and correction of committed projects" and to the problems of implementation. The Plans depend predominantly on foreign aid (grants), provided mostly for specified purposes and largely in the form of goods and technical assistance. The amounts of foreign aid in each Plan period, and the sources, are given in Table 1.

¹⁶ Nepal's fiscal year begins on July 16.

¹⁷ A draft Second Five-Year Plan was not executed.

The last revision available of the First Five-Year Plan envisaged an expenditure of NRs 330 million, of which NRs 185 million would be financed by foreign aid. Foreign aid authorized during the period amounted to NRs 383 million. Actual expenditure under the Plan was NRs 214 million, of which NRs 164 million came from utilized foreign aid. Including the amounts received before the Plan, authorized foreign aid to Nepal totaled NRs 594.4 million by the end of 1961/62. Under the current Three-Year Plan, the expenditure visualized is NRs 670 million, of which NRs 500 million will be financed by foreign grants and NRs 60 million by foreign loans.¹⁸ The contributions of the Nepalese Government to the financing of the two Plans have been, and will be, derived from tax revenues, profits of government enterprises, and domestic borrowings, both short-term and long-term. The Government's own contribution to the first Five-Year Plan amounted to NRs 50 million, of which NRs 22.2 million came from ordinary budget surpluses and NRs 27.8 million from past reserves.¹⁹

Actual expenditure under the First Five-Year Plan, and the proposed outlay under the current Three-Year Plan, are shown in Table 2. Only in the field of education did the actual expenditure in the Five-Year Plan period surpass the targets set. In physical terms, performance surpassed the targets with respect to the establishment of educational institutions, village development and cottage industry centers, health centers, and post offices. The principal achievements during the period included the irrigation of an additional 65,000 acres; the establishment of 55 village development centers, 21 cottage industries centers, 3 industrial estates, 94 health centers, and 2,000 primary schools; the sending of trainees abroad; the establishment of 7 aerodromes, 1,500 telephone lines, and a water filtration plant for Kathmandu. By the end of the period, substantial progress had been made on the Trisuli hydroelectric project and the new U.S.-aided 28-mile Kathmandu-Hitaura Ropeway (see above, p. 510). Installed electric power capacity (diesel) was increased by 750 kilowatts. A U.S.-aided multipurpose project in the Rapti Valley was carried out, and has resulted in the reclamation of a considerable amount of land for agriculture. Initial work was also performed toward setting up the foreign-assisted manufacturing plants mentioned above (p. 511).

¹⁸ The NRs 500 million in grants includes NRs 140 million from a total of NRs 290 million offered by India, and NRs 40 million from a total of NRs 300 million offered by China (Mainland).

¹⁹ Nepal Rastra Bank, *Report of the Board of Directors to His Majesty's Government for the Fiscal Years 1957/58-1960/61* (Kathmandu, 1962).

During the period of the Five-Year Plan, 563 miles of road were constructed. The net addition, however, was only 380 miles, the remainder consisting of former metaled and fair-weather roads converted into full pitched and metaled roads. In July 1958, a Regional Transport Organization (RTO)—composed of representatives from the United States, India, and Nepal—was formed. It was charged

TABLE 2. NEPAL: PUBLIC-SECTOR DEVELOPMENT OUTLAYS UNDER THE FIRST FIVE-YEAR PLAN (1956/57-1960/61) AND THE THREE-YEAR PLAN (1962/63-1964/65)

(In millions of Nepalese rupees)

	First Five-Year Plan	Three-Year Plan
	Actual outlay	Proposed outlay
Village development ¹	27	20 ²
Agriculture and forestry	7	41.6
Irrigation, etc.	13	50 ³
Industry and mining	10	152 ⁴
Transport, communications, and public works	95	143.5
Electric power	13	91
Social services	37	102.7
Education	21	40
Public health	16	37
Other	6	25.7 ⁵
Improvement in organization, surveys, and statistics	—	69.2 ⁷
Miscellaneous	12	—
Total	214	670

Sources: See Table 1.

¹ Includes outlays for *panchayat* (rural community) development (mostly during the Three-Year Plan).

² *Panchayat* only.

³ Includes NRs 10 million loan for resettlement.

⁴ Includes NRs 150 million for industry; of this amount, NRs 50 million are loans and NRs 2 million are for tourism.

⁵ Included under the category "miscellaneous."

⁶ NRs 24 million for water supply and NRs 1.7 million for sports and recreation.

⁷ Includes NRs 12.5 million for land reform and cadastral surveys, and NRs 13 million for agricultural credit, of which NRs 10 million is to be financed by loans.

with the construction of 900 miles of road. Before it was formally dissolved in January 1963, it built 300 miles. The Nepalese Government, local authorities, and voluntary associations, relying on their own resources, constructed 263 miles of road.

The current Three-Year Plan is designed to create the proper foundation for more ambitious efforts in subsequent periods. Execution of the Plan has been entrusted to a Planning Council. The first

Council consisted of the King as Chairman, and all the members of the Cabinet plus five full-time Council members. Approval of the Council was required for the development budget, the various plans and projects, and all necessary final decisions. A new Planning Council, headed by the Chairman of the Council of Ministers, has now been created. This Council will coordinate the activities of the *panchayats* (rural communities) at various levels.

Particular emphasis is placed on programs to build a sound organizational structure. Thus, NRs 23 million is allocated for surveys and improvements in statistics; these include general investment surveys of natural resources, preinvestment surveys to consider the possibility of carrying out specific projects, and a family-budget survey. Statistical data covering such fields as transportation and public health will be gathered. An agricultural census is now under way, and an industrial survey will be made. A price index will be constructed. Included under organizational improvement is a training program entailing an expenditure of NRs 12.5 million. It aims at providing 7,000 intermediate-level technicians and about the same number of lower-level technicians. An essential feature of the reform of public administration is the promotion of the *panchayat* system, to which NRs 20 million is allocated. The Plan also aims at altering the land tenure system by land reforms. For the general administration of this program, NRs 2.5 million has been set aside; NRs 10 million has been allocated to cadastral surveys; and NRs 13 million has been allocated for agricultural credit. An agricultural bank will be established, and 2,000 cooperative societies will be organized.

For road development, the Three-Year Plan allocates NRs 112.5 million. The intention is to construct 724 miles of fair-weather roads, to convert 165 miles of fair-weather roads into all-weather roads, and to macadamize 78 miles. An east-west highway will be constructed. In addition, the Kathmandu-Kodari highway mentioned above (p. 510) will be constructed with Chinese assistance. Branch post offices will be increased by 28, and telephone and telegraph facilities will be improved; for this work, an expenditure of NRs 6 million will be required. Expenditure of NRs 91 million will be devoted to power development, and power capacity will be increased by 22,000 kilowatts and transmission lines by 200 miles. For the expansion of irrigation facilities, NRs 40 million will be provided, and 116,000 additional acres will be irrigated.²⁰ In the field of social services, NRs 40 million will be devoted to education; among the educational institutions

²⁰ The multi-purpose projects undertaken by India at the Kosi and Gandak Rivers are not included in the Three-Year Plan; when completed, they will irrigate 208,000 and 144,000 acres, respectively.

to be established are 1,200 primary schools. Funds totaling NRs 37 million have been allocated for a public health program; 290 new hospital beds will be provided. Tourist facilities will be expanded. To increase hotel accommodation, the Nepal Industrial Development Corporation will provide loans of NRs 4.8 million to private enterprise.

As mentioned earlier, construction has already been commenced on several projects assisted by foreign aid; they are expected to be completed during the Plan period. The following are the targets for annual production at the end of the period: sugar, 30,000 tons; cement, 50,000 tons; paper, 6,000 tons; jute, 8,600 tons; textiles, 20,000 yards; and timber, 3,200,000 cubic feet. In assisting private industry, priority will be given to those units which produce export or import-substitute goods, and those utilizing domestic materials and labor. In the development of cottage industries, emphasis will shift from training to the initiation of projects with government assistance.

Financial estimates of private investment are not included in the plans; however, the public sector offers direct incentives to private industry. In 1959, an Industrial Policy Statement was issued declaring that private enterprise, both national and foreign, should play the major role in industrial development, and that only public utilities and armaments and explosives manufacture should be reserved for the Government. Double taxation was to be avoided and foreign entrepreneurs could register firms in Nepal and control them for an agreed period. In 1961, an Industrial Enterprises Act was decreed. As amended recently, the law permits the total ownership of large-scale industries (capitalized at NRs 0.5 million or more) by foreign interests.²¹ It grants liberal tax concessions, and provides exemption from income tax for ten years, after which exemption may be granted wholly or partially, with or without a time limit. Full or partial exemption from import and export duties may be authorized by the Government. The statute allows the repatriation of foreign capital at the rate of 25 per cent annually, and the annual remittance of profits equal to at least 10 per cent of the equity investment.²² It also provides for nondiscriminatory treatment between Nepalese and foreign nationals and organizations. In 1960, Nepal signed an Investment Guarantee Agreement with the United States. As yet, there has been no inflow of private foreign investment other than from India.

The Nepal Industrial Development Corporation was organized in 1959. Of its authorized capital of NRs 10 million, about NRs 7.6 million was subscribed by the Government; nearly all of it was paid up

²¹ U.S. Department of Commerce, *International Commerce*, July 8, 1963.

²² For privileges on the use of export earnings in convertible currencies accorded to both domestic and foreign investment, see below (p. 527).

by July 1962. It also had capital of NRs 10.7 million, composed of a loan of Indian rupees equivalent to NRs 7.6 million (\$1 million) from the Export-Import Bank of Washington, and a dollar loan equivalent to NRs 3.1 million from the U.S. Development Loan Fund (now Agency for International Development, or AID). In addition, it had a line of credit of NRs 3 million from the Nepal Bank, a commercial bank. Under the Three-Year Plan, it is intended to provide the Corporation with NRs 50 million of additional funds. Between the time it started operations and July 1962, the Corporation disbursed NRs 3.4 million in loans, participated to the extent of NRs 1.5 million in the common stock of other companies, invested NRs 1.3 million in industrial estates, and guaranteed loans for slightly more than NRs 0.2 million. Fixed capital loans with a term as long as ten years were granted up to an amount equal to 75 per cent of a firm's total fixed capital requirements, and working capital loans of up to 50 per cent were made for periods not exceeding one year. Interest on loans in Nepalese rupees was a uniform 6½ per cent; on those in other currencies, it was 7½ per cent. Except for 0.3 million in Indian rupees, all the loans made were in Nepalese rupees; however, a total of nearly 4.5 million in Indian rupees, and 0.38 million in U.S. dollars, had been approved by July 1962.

Since pending applications for credit in foreign currencies exceed its foreign exchange resources, the Corporation has negotiated with the AID for a loan of \$2 million, and a loan in Indian currency equivalent to \$2.5 million. A loan of DM 4 million has also been negotiated with the Federal Republic of Germany, and credit requests have been made to the U.K. Government for £0.8 million, and to the Japanese Government for ¥ 350 million.

National Income and Prices

In the absence of adequate production and other relevant statistics, no official compilation has been made of Nepal's national income. An unofficial estimate for 1960 was NRs 3,384 million, resulting in a per capita income of NRs 368 (\$48).²³

Data on prices are collected through all the branches of the Nepal Rastra Bank (the central bank); however, the Bank publishes data for only the Kathmandu Valley, and these pertain only to the wholesale prices of some consumer goods. The statistics are unweighted

²³ This was made by Mr. W. O. Thweatt and has since been published in his book, *The Concept of Elasticity and the Growth Equation* (Bombay, 1961).

price relatives, but initial work is now being done to conduct a family-budget survey in order to construct cost of living indices.

The Rastra Bank price indices, with 1960/61 as the base, of domestic goods and of imported goods rose sharply between 1957/58 and 1958/59—from 90.8 to 96.8 and from 87.7 to 101.6, respectively. Since then, the prices of domestic goods have tended to rise gradually every year, while those of imported goods have remained almost stationary at a somewhat lower level than in 1958/59. For the period mid-February to mid-March 1963, the price index of domestic goods was 108.1 and that of imported goods was 99.1.

Severe transport difficulties and changing supply conditions from planting to the harvest season lead to wide price variations in a single year and between various regions. The Government enforces controls on the prices of some essential consumer goods and construction materials that are imported. During periods of shortage, the Government also imposes rationing. Essential goods are distributed by the Nepal Trading Corporation at reasonable prices.

Dual Currencies and Banking

CURRENCIES

In much of Nepal, money is used very little, either because production is largely on a self-subsistence basis or because barter is the predominant mode of exchange. The process of economic development in recent years, however, has increased the monetization of the economy. The monetary system is unique in that two currencies are used, the Nepalese rupee and the Indian rupee. This dual currency system may be traced back to about 1857, when trade between Nepal and British India began to flourish.²⁴ To facilitate this trade, coins and notes from India were allowed to circulate in Nepal. No formal declaration that they be considered legal tender seems to have been issued, but the Nepalese Government collected its revenues in the Terai region in Indian currency and spent the same currency in the Kathmandu Valley. In the Government's accounting practice during the nineteenth century and the early part of the twentieth century, the rate of exchange used was approximately NRs 128 = IRs 100.

The Indian currency has circulated predominantly in the Terai and the Indo-Nepalese border areas of the eastern and western hills. The Nepalese rupee is the main medium of exchange in the Kathmandu

²⁴ J. C. Ojha, *Modern Banking and Currency in Nepal* (Kathmandu), pp. 63-67.

Valley and its surrounding hills. The Nepalese currency area depends upon the Indian currency area for food and upon India itself for imports of consumer and capital goods. On the other hand, the Indian currency area is a relatively surplus region, exporting to India as well as importing from it.²⁵

Since 1933 there have been wide fluctuations in the rate of exchange between the two currencies. In the late 1930's it was NRs 145 = IRs 100. By June 1943, following the large wartime inflow of Indian rupees from the remittances of Gurkha soldiers in the British Army and from rice exports sold at high prices, the rate had appreciated to NRs 92 = IRs 100; and in June 1946, it was NRs 72 = IRs 100. In the postwar period, the increasing volume of imports from India, and from the Indian currency region in Nepal to other parts of the country, caused the relative value of the Nepalese rupee to fall rapidly. By June 1950, the rate was NRs 103 = IRs 100, and in June 1955 it was NRs 185 = IRs 100.

The Government undertook exchange stabilization measures through the Nepal Rastra Bank. In the latter half of 1954, when the rate for 100 Indian rupees had been fluctuating between NRs 148 and NRs 180, the Government announced that it would supply Indian rupees at the rate of NRs 150. However, this attempt at stabilization did not succeed. In June 1956, the Nepal Rastra Bank fixed the rate at NRs 150.50 when the market rate was NRs 156; and at NRs 130.50 in March 1957 when the market rate was NRs 136. From July 1, 1956 to June 28, 1957, the Rastra Bank sold drafts totaling IRs 16.3 million, but four months later discontinued its support operations, after which the rate sagged again. In April 1960, the Bank fixed the official rate at NRs 160 = IRs 100 (giving a relationship of approximately NRs 7.619 = US\$1), which was almost at par with the market rate. Since then this rate has been maintained.

The Nepalese authorities have considered the existence of the dual currency system to be a major factor inhibiting the efficient conduct of monetary policy and control. Accordingly, the Government has been taking steps to extend, progressively, the area where only Nepalese rupees are legal tender. Indian currency is no longer legal tender in the Kathmandu Valley. According to press reports, all accounts in Indian rupees with the Nepal Bank have been converted into accounts in Nepalese rupees. Furthermore, all payments to the Government are progressively being limited to Nepalese currency, and the Government has converted its Indian currency accounts with the Nepal Rastra Bank into Nepalese currency accounts. To facilitate the orderly

²⁵ B. P. Shreshtha, *op. cit.*, p. 159.

withdrawal of Indian currency and its substitution by Nepalese currency, the Nepal Rastra Bank has been engaged in the buying and selling of the two currencies.²⁶

An estimate made by the Nepal Rastra Bank in mid-January 1962 put the value of Indian rupees in circulation at the equivalent of NRs 302.5 million, and Nepalese currency in circulation at NRs 154.3 million. Indian rupees in circulation and in demand deposits are not considered by the Nepalese authorities as part of the money supply, but are called quasi-money. Nepalese rupees held by the public in currency and in demand deposits increased from NRs 88 million in mid-July 1959 to NRs 201 million in mid-July 1962. Demand deposits in Indian rupees increased during the same period from the equivalent of NRs 28 million to NRs 37 million. Data for Indian rupees in circulation in Nepal are not available.

BANKING

The Nepal Rastra Bank began operations in 1956. The Rastra Bank Act, which was decreed in 1955 and established the Bank, vested it with the sole right to issue notes, which it exercised for the first time in 1960. The note issue liability of the Bank (including notes held by the banking system) increased to NRs 139 million by mid-January 1963, from NRs 126 million a year earlier and from NRs 55 million in mid-July 1957. These amounts include notes issued by the Government before the operation of the Rastra Bank Act. The steady expansion since 1960 reflects the increase in monetary circulation and the replacement by Nepalese currency of Indian rupees. The statute establishing the Bank requires that 50 per cent of its note issue should be covered by gold, silver bullion, and foreign exchange, and 50 per cent by government securities and Nepalese coins.

The Rastra Bank is also charged with the tasks of mobilizing capital for trade and industry and of developing the country's banking system. Through 23 branches it receives private deposits; these increased from NRs 4 million in mid-July 1959 to NRs 37.6 million in mid-July 1962, despite the fact that the Bank cannot legally pay interest on its deposits. Its advances to the private sector, however, have been small: NRs 2.1 million at mid-January 1963. It cannot grant ordinary commercial loans, and its industrial loans must be considered sound by both the Bank and the Government. The Government, rather than the Rastra Bank, is legally the origin of credit

²⁶ In order to replace Indian currency in circulation with Nepalese currency, the Nepal Rastra Bank was able to make a total net purchase of Indian rupees of NRs 2 million from mid-May 1960 to mid-December 1962.

control, for, as Section 22 of the Rastra Bank Act states, "The Bank shall endeavor to control credit according to the directions of the Government. The Government, after consultation with the Bank, shall frame and enforce credit control regulations." In its Report for 1957-61, the Bank stated that, so far, the question of implementing Section 22 had not been taken up by the Government.

The only commercial bank in Nepal is the Nepal Bank established in 1938. The Government owns 52 per cent of its share capital, but does not have voting control. The Bank has 20 offices. Its demand, savings, and fixed deposits rose from NRs 47.5 million in mid-July 1959 to NRs 79.0 million in mid-January 1963. During the same period, its advances to the private sector and its investments increased from NRs 34.2 million to NRs 51.0 million, most of which was used to finance trade with India. The remainder of the Bank's loan portfolio consists chiefly of advances against the collateral of gold and silver bullion, fixed deposit receipts, share certificates, and title to movable property. As a result of its concern with import and export trade, nearly one third of the Bank's total assets at mid-January 1963 was in Indian currency. Its domestic cash resources, composed of cash in vault and deposits with the Rastra Bank, were about 25 per cent of its demand deposits and about 12 per cent of its total deposits on the same date. Since 1958, interest on current deposits has been $\frac{1}{2}$ per cent and on savings deposits, $1\frac{1}{2}$ per cent, while rates on loans and advances for imports have ranged from $5\frac{1}{2}$ per cent to $7\frac{1}{2}$ per cent, and the rate on credit against the security of gold and silver has been 7 per cent. Loans and advances cannot exceed one year, and they are made only against the security of movable property.

The main sources of credit in Nepal are still the moneylenders, who are particularly dominant in the agricultural areas.²⁷ They charge high rates of interest and purchase crops from farmers at low prices, the payment for which is offset against the debt obligations. The Government has promoted cooperative credit, which increased by NRs 2.9 million between July 1956 and July 1962. The Nepal Rastra Bank has an Agricultural Credit Fund which amounted to NRs 0.5 million in 1961 but was still unutilized. As pointed out above (p. 516), an agricultural bank is to be established, to facilitate the success of land reform.

Government Finance

The Nepalese budget is divided into two parts: regular or ordinary, and development. Most recurring expenses fall under the first, but

²⁷ J. C. Ojha, *op. cit.*, p. 11.

some of those incurred for the operation of public health, education, and village improvement projects are put in the development part of the budget. Development expenditure covers the outlays of the Plan, and it is financed chiefly from foreign aid.

The most recent estimates of the Government's budgetary operations for the fiscal year 1962/63 indicate income of NRs 203.4 million—comprising NRs 129.7 million from domestic revenue (including NRs 30.6 million from new tax measures) and NRs 73.7 million from foreign grants²⁸—and expenditure of NRs 219.3 million—NRs 124.4 million in the regular part of the budget and NRs 94.9 million in the development part. It is not yet known how the deficit of NRs 15.9 million was financed. Earlier estimates indicated a deficit of NRs 35.7 million, which was subsequently reduced to NRs 22.7 million; it was expected that NRs 4 million of the latter amount would be financed by the sale of long-term bonds to the Provident Fund, and the rest by drawing down cash balances and selling Treasury notes to the Nepal Rastra Bank. There is no bond market in Nepal.

In the budget for the fiscal year 1963/64, domestic revenue is placed at NRs 143.9 million (including NRs 7 million from certain tax measures), i.e., about 11 per cent higher than the most recent estimates for 1962/63. The foreign grants and loans which are taken into account amount to NRs 138.4 million, of which NRs 125 million will be grants and NRs 13.4 million, loans. While the foreign grants included in the budget for 1963/64 are NRs 51.3 million higher than the recent estimate for the previous year, they are NRs 5.5 million lower than the earlier estimate for that year.

Expenditures in the regular part of the 1963/64 budget are estimated at NRs 114.5 million, about 8 per cent less than the recent estimate for 1962/63. Development expenditures for 1963/64 are placed at NRs 180.9 million, almost twice the recent estimate for the previous year, but only about 9 per cent higher than an earlier estimate of NRs 165.5 million. Much of the increase is allocated to industry and commerce, and public works. The deficit for 1963/64, amounting to NRs 13.1 million, is expected to be financed by domestic loans.

The principal aim of budgetary policy is to minimize regular expenditures, thus maximizing the Government's resources for development. This was stated clearly in the 1961/62 Budget Speech of

²⁸ This figure has been obtained by subtracting from the development expenditure of NRs 94.9 million the portion financed by the Nepalese Government, i.e., NRs 21.2 million; of this latter amount, NRs 5.3 million represents the surplus in the regular part of the budget, and NRs 15.9 million represents internal loans.

the Finance Minister. To carry out the objective of "austerity," it was proposed that those agencies and positions in the regular departments which were no longer suited to the needs of Nepal, or were redundant, should be abolished. Another economy measure is to make self-supporting such public utilities as electric services, ropeways, and the provision of drinking water, which now entail a yearly subsidy of about NRs 2.2 million.

While restraint is the avowed policy for the regular part of the budget, increased expenditure is the aim of the development part. Foreign aid cannot be utilized fully because of inadequacies in transport, communications, and administrative machinery. It has been estimated that in 1962/63 only about 57 per cent of the estimated NRs 165.5 million budgeted for development was spent. The above factors, however, are not the only reasons for not making full use of foreign aid. Foreign-assisted projects frequently require concurrent expenditure by the Nepalese Government, usually for the acquisition of land. The Finance Minister stated in his Budget Speech for 1961/62 that the Government would not be able to provide the funds committed previously, and would ask the countries granting aid to release Nepal from some of its obligations. Another factor is that the preparation of projects requires time.

The estimated revenue of NRs 143.9 million for 1963/64 is expected to be derived from the following sources: certain tax measures, NRs 7 million; customs, NRs 40.5 million; land revenue, NRs 54 million; revenue from forests, NRs 13 million; railways and other transportation, NRs 4.6 million; post office and other communications, NRs 2.1 million; excise taxes, NRs 9.4 million; and miscellaneous sources, NRs 13.3 million.

India pays to Nepal the internal (Indian) excise taxes levied by it on articles exported to Nepal. On imports of Indian origin not subject to such excises, import duties are levied by Nepal.

The revenue measures which are expected to yield NRs 7 million are not new taxes, but adjustments of existing taxes undertaken primarily for reasons of equity and simplicity. The adjustments will affect land, income, and entertainment taxes, irrigation levies and registration fees, and certain excise duties (including those on sugar, liquor, matches, and cigarettes). Also, all land taxes will hereafter be collected in cash rather than in kind.

To augment domestic resources, existing taxes have been modified and new ones adopted since 1959/60. The budget for 1961/62 included tax measures estimated to yield NRs 10 million; and the 1962/63 budget similarly included an estimated NRs 30.6 million.

Following the partial abolition of the Birta system, the land tax

has been successively raised by 40-100 per cent; the rates applied vary according to regions. A surcharge on the land tax, which also had been increased, was abolished in 1962/63; to replace this surcharge, as well as the business profits and salaries tax and the addition of 50 per cent to the tax on rented houses in urban areas, a comprehensive tax on incomes of NRs 7,000 and above was introduced in 1962/63, with rates ranging from 2 per cent to 25 per cent.

Other new revenue measures adopted include a basic tax on the value of urban property (houses), a hotel guest tax, an embarkation tax on travel abroad, a registration tax, documentary stamps, a radio tax, and a tax on water rates. Irrigation rates have been increased.

Foreign Trade and Payments

Nepal's main exports are rice and other foodgrains, ghee, raw jute, hides and skins, timber, jute textiles, and medicinal herbs. The export of citrus fruits is now being promoted. The main imports are cotton cloth, foodstuffs (including sugar), mineral fuels and lubricants, cigarettes, and other manufactures.

Statistical data on foreign trade are available only through the fiscal year 1959/60. It is believed that recorded information covers only part of total exports and excludes an estimated 20 per cent of total imports. In 1959/60, about 99 per cent of Nepal's recorded exports and 94 per cent of its imports were in trade with India. Most of the remaining 1 per cent of its exports and less than 1 per cent of its imports was in trade with Tibet. It has been estimated recently that the proportion of exports and imports to and from India have declined to 92 per cent and 90 per cent, respectively. Recorded imports from India amounted to about twice the value of Nepal's exports to India.

The trade deficit was met by receipts of Indian rupees from foreign aid, tourists, and Gurkha soldiers serving with the British and Indian armies.²⁹ By the end of the fiscal year 1961/62, Nepal had received NRs 82.9 million from the United States in the form of Indian rupees derived from the sale of surplus agricultural commodities to India.

Before July 1950, when the first Treaty of Trade and Commerce was signed with India, trade and transit were ruled practically by

²⁹ Tourists frequently bring Indian rupees from India. Pensions to the retired Gurkha soldiers were paid in Indian rupees before November 1960. Since then, pensions of Nepalese soldiers retiring from the British service have been paid in sterling.

convention.³⁰ Aside from formalizing the rights of commercial trade between the two countries, the Treaty stipulated that Nepal's exports and import tariffs should be at the same level as those of India. In September 1960, Nepal signed a Treaty of Trade and Transit with India which came into force in November of the same year. Under this agreement, subject to such exceptions as may be mutually agreed upon, goods originating in either country and intended for consumption in the territory of the other shall be exempt from customs duties and other equivalent charges as well as from quantitative restrictions. The Treaty also terminated the system by which Nepal's foreign exchange income (other than Indian currency) was pooled with India's and foreign exchange was released when Nepal so requested. Better transit facilities to third countries were also granted under the Treaty, as was the exemption of goods in transit from customs and other duties. Commodities in which Nepal trades with all other countries, except Tibet, go through India, particularly Calcutta. According to press reports, trade talks were recently held in New Delhi between Nepal and India. At these talks, India agreed to provide Nepal with better transit facilities for its trade with other countries which passes through Indian territory. On its part, Nepal undertook to rectify tariff discrimination, if any, against Indian goods.

An expansion of trade with countries other than India has been a prime policy of the Nepalese Government. In 1955, Nepal and China (Mainland) established diplomatic relations, and a year later they signed an aid agreement which was also intended to promote mutual friendship and commerce. In addition, Nepal entered into a provisional payments agreement with China (Mainland), under which payments between the two countries are made through a bilateral account denominated in pounds sterling. A trade and payments agreement and a transit agreement have been concluded with Pakistan. The payments agreement provides for settlements through a clearing account in Pakistan rupees.

In past years, Nepal's income in convertible foreign exchange exceeded its outlays. In the period 1956/57-1959/60, the surplus totaled NRs 39.7 million. It rose from NRs 10 million in 1960/61 to NRs 26 million in the following year, and is estimated to have been NRs 19.1 million in 1962/63. For 1963/64, a deficit of NRs 4.8 million has been forecast. Total receipts for the year are expected to be NRs 41.6 million, i.e., NRs 7.5 million less than in the previous year, reflecting chiefly a reduction in miscellaneous receipts. At the same

³⁰ In 1923, a treaty was signed with British India providing that "No customs duty shall be levied at British Indian ports on goods imported on behalf of the Government of Nepal."

time, total payments are expected to increase to NRs 46.4 million, from NRs 30 million in 1962/63, mainly because of higher developmental imports. Capital goods for development have been the largest item of expenditure, while receipts from invisibles (mainly pensions and salaries earned by Gurkha soldiers) have been the largest source of income. According to press reports, the U.K. Government has decided to reduce the strength of its Gurkha contingent by almost one third over a three-year period.

At mid-January 1963, total foreign assets held by the Nepal Rastra Bank amounted to NRs 207.4 million, of which NRs 76.7 million was in Indian rupees, NRs 92.6 million in other foreign exchange (all convertible except nearly NRs 0.5 million in Burmese kyats), and NRs 38.1 million in gold and silver. On the same date, the Nepal Bank held NRs 28.3 million in foreign assets, of which all except NRs 2.3 million was in Indian rupees.

In 1960 the Nepalese authorities enforced a Foreign Exchange Act in the Kathmandu Valley, but permitted the continuance of payments transactions between India and Nepal made in Indian or Nepalese rupees.³¹ For other currencies a foreign exchange budget is prepared, and permission is required from the Ministry of Finance for all foreign payments. Import licensing is the responsibility of the Ministry of Commerce, and additional payments licenses are granted by the Ministry of Finance; import and exchange licenses are granted on the merits of the case, must conform with a specified list of goods, and are issued on a first-come-first-served basis. Certain imports and exports are prohibited. Although there is no law requiring the surrender of export proceeds, surrender is obtained in practice since import and export transactions in currencies other than Indian rupees have to be made through the Nepal Bank, which is permitted to make payments to the exporter in Nepalese currency only. Exporters who receive proceeds in currencies other than Indian rupees are given nontransferable entitlements to exchange for the importation of certain listed goods. The entitlement varies from 35 per cent to 75 per cent of exchange earnings, increasing with the amount of the earnings.

No conditions are attached to foreign exchange proceeds from invisibles, except payments in the Kathmandu Valley may not be received in currencies other than the Indian rupee. Payments to India for invisibles may be made freely in Indian or Nepalese rupees, but

³¹ It has been reported that a Foreign Exchange Regulation Act of 1962, passed in 1962, has been enforced since August 17, 1963 in the Kathmandu Valley, all the major commercial centers in the Terai, and three important bazaars in the hills (U.S. Department of Commerce, *International Commerce*, September 2, 1963).

payments to other countries are governed by the foreign exchange budget and the Ministry of Finance. Capital remittances to countries other than India by Nepalese nationals are not normally allowed. However, no conditions are laid down concerning receipts and remittances in respect of capital transactions or capital holdings abroad. A special law gives specific assurances to foreign investors on capital repatriation and the remittance of profits (see above, p. 517).

No prescription of currency requirements applies to outgoing payments. Only foreign embassies are allowed to open bank accounts in Nepal in currencies other than Nepalese and Indian rupees. Nonresidents may take out the unchanged amount of any foreign banknotes they brought in. According to an agreement with India, Indian currency notes exceeding IRs 20 may not be taken by travelers to countries other than India. Likewise, travelers arriving from countries other than India may not bring in more than IRs 20 in currency notes. Nepalese currency notes may be brought in and taken out freely.

L'économie du Népal

Résumé

Le Népal est un pays enserré par les terres, bordé à l'Ouest, au Sud et à l'Est par l'Inde, au Nord par le Tibet, et au Nord-Est par le Sikkim. En raison de la topographie du pays, les moyens de transport sont difficiles à installer. Les difficultés de transport ajoutées au manque d'équipement énergétique, de marchés, de capitaux et d'experts techniques et de personnel de direction ont entravé le développement industriel. La plus grande partie de la population se consacre à l'agriculture pour vivre.

Avec l'aide de dons provenant surtout de l'étranger, le Népal avait entrepris un Plan Quinquennal (1956/57-1960/61) et a commencé maintenant un Plan Triennal (1962/63-1964/65). La contribution du Gouvernement du Népal au financement des Plans est dérivée des revenus en provenance des impôts et d'économies sur les dépenses courantes. Dans le plan actuellement en voie d'exécution, on a fortement mis l'accent sur une organisation structurelle saine; par conséquent on a accordé une attention spéciale au développement des renseignements statistiques, à la formation des techniciens, à la réforme agraire, etc. . .

Le Népal a un système monétaire double dont les unités sont à la fois la roupie népalaise et la roupie indienne. L'existence d'un système double est considérée comme un handicap sérieux à l'efficacité d'une politique et d'un contrôle monétaires et le Gouvernement a pris des mesures pour étendre progressivement la zone où seules les roupies népalaises ont cours légal.

Des renseignements fragmentaires indiquent que plus de 90 pour-cent du commerce extérieur du Népal s'effectue avec l'Inde. Le Gouvernement essaie d'accroître ce commerce avec d'autres pays. Une source majeure de devises étrangères convertibles s'est trouvée dans les pensions et les soldes des soldats Gourkha. Pour des monnaies autres que la roupie indienne, un budget de devises étrangères est prévu; une permission doit être accordée par le Ministère des Finances pour pouvoir effectuer des paiements à des pays autres que l'Inde.

La economía de Nepal

Resumen

Nepal es un país sin salida al mar, y linda por el occidente, el sur y el oriente con la India, por el norte con el Tibet, y por el noreste con Sikkim. Por razones topográficas resulta difícil proporcionar medios de transporte. Las dificultades de transporte y la falta de servicios de energía, mercados y capital, así como de personas que tengan pericia técnica o administrativa han impedido su desarrollo industrial. La mayor parte de la población se ocupa de la agricultura para sustento mínimo.

Mayormente con apoyo de donativos provenientes del extranjero, Nepal emprendió un Plan Quinquenal (1956/57-1960/61) y lleva a cabo en la actualidad un Plan Trienal (1962/63-1964/65). Las sumas aportadas por el Gobierno nepalés para la financiación de esos Planes han provenido de rentas impositivas y de las economías efectuadas en los gastos ordinarios. En el presente plan se hace hincapié en organizar una estructura firme; por consiguiente, se dedica especial atención a la elaboración de datos estadísticos, la capacitación de técnicos, la reforma agraria, etc.

Nepal tiene un sistema monetario doble que utiliza tanto la rupia nepalesa como la rupia de la India. Se considera que la existencia de ese sistema doble constituye uno de los principales factores que in-

hiben la eficacia de la política y del control monetarios, y el Gobierno ha venido adoptando medidas encaminadas a ampliar cada vez más la esfera en que solamente las rupias nepalesas son de curso legal.

Datos fragmentarios indican que más del 90 por ciento del comercio exterior de Nepal es con la India. El Gobierno trata de ampliar su comercio con otros países. Una de las principales fuentes de divisas convertibles proviene de las pensiones y sueldos de los soldados gurkas. Se elabora un presupuesto de divisas que no sean la rupia india; es preciso obtener un permiso del Ministerio de Hacienda para poder efectuar pagos a cualquier país, excepto la India.

In the tables throughout this issue, and in the English text of the papers

Dots (. . .) indicate that data are not available;

A dash (—) indicates that the figure is zero or less than half the final digit shown, or that the item does not exist;

A single dot (.) indicates decimals;

A comma (,) separates thousands and millions;

“Billion” means a thousand million;

A hyphen (–) is used between years or months (e.g., 1955–58 or January–October) to indicate a total of the years or months inclusive of the beginning and ending years or months;

A stroke (/) is used between years (e.g., 1962/63) to indicate a fiscal year or a crop year.

Periodical Publications by the Fund

International Financial Statistics

A monthly publication presenting for most countries of the world current data useful for analyzing international payments and problems of inflation and deflation. Each issue contains about 300 pages. Subscription (for 12 issues and an annual supplement): \$10.00 postpaid. Single copies: \$1.50.

Balance of Payments Yearbooks

An annual series, now issued monthly in loose-leaf sections, providing comprehensive information on international transactions in the postwar period for some 70-75 countries. The first monthly section for Volume 15—which will cover the years 1958-62—was issued in July 1963. Subscription: \$7.50 a volume. A binder for filing the loose-leaf sections may be purchased for \$3.50.

Monographs Published by the Fund

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